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COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT ECONOMICS
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Which one of the following measures of poverty is used in empirical work because of its sensitivity to the depth and severity of poverty?

- A. Total poverty gap
- B. the Foster-Greer-Thorbecke index
- C. Head count
- D. Average income shortfall

ANSWER: B

What does the slope coefficient in a simple regression model represent?

- A. The change in the dependent variable for every one unit change in the independent variable
- B. The change in the independent variable for every one unit change in the dependent variable
- C. The correlation between the independent and dependent variables
- D. The standard error of the estimate

ANSWER: A

Which one of the following factors would **adversely** affect economic growth?

- A. Stable political environment
- B. Technological innovation
- C. Abundance of resources
- D. Unstable general price level

ANSWER: D

Which one of the following is **not** the component of The Harrod-Domar Growth Model?

- A. Saving
- B. Investment
- C. Foreign aid
- D. Institutions

ANSWER: D

The new growth theory come to contradict the neoclassical theorist view by assuming that technological progress. According this theory which one of the following is not candidates for the source of such **progress**?

- A. New ideas
- B. Economic openness
- C. Human capital formation
- D. Physical capital formation

ANSWER: D

Modern development economics arose _____

- A. First in the 19th century to study the development problems of Eastern Europe
- B. in the late 18th century as a new branch of economics

- C. in the late 1940s to study the development problems of the Third World
- D. None of the above

ANSWER: C

Simon Kuznets isolated six characteristic features manifested in the growth process of almost every developed nation. Which one of the following is not correct about his finding about these countries?

- A. Limited international spread of economic growth
- B. High rates of total factor productivity increase
- C. low rates of economic structural transformation
- D. High rates of social, political, and ideological transformation

ANSWER: C

Which of the following characteristics are most likely found in developing countries?

- A. high population growth rates.
- B. large number of people living in poverty.
- C. very traditional methods of agricultural production.
- D. all of the above

ANSWER: D

The low-income economies generally have the following except

- A. deficient infrastructures.
- B. low life expectancies.
- C. low savings.
- D. a per capita GNP of more than \$900.

ANSWER: D

Which of the following is not TRUE about education in LDCs?

- A. Public expenditure per student for higher education is about ten times as high as for primary education.
- B. The expansion of primary education redistributes benefits from the rich to the poor.
- C. Economists unanimously agree that LDCs should put greater priority on primary education.
- D. Boys are sent to school far more often than girls.

ANSWER: B

The emigration of highly-skilled people from the developing countries is known as

- A. the brain drain.
- B. human capital deterioration.
- C. productivity.
- D. labor degradation.

ANSWER: A

A period of rapid population growth between a preindustrial, stable population characterized by high birth and death rates and a later, modern, stable population marked by low fertility and mortality is known as

- A. demographic transition.
- B. population maturity.
- C. demobilizing population.
- D. birth-death transformation.

ANSWER: A

Which of the following is not a possible cost of high fertility rates and rapid population growth?

- A. increasing returns to natural resources, with a direct impact on average food consumption.
- B. increased urbanization and congestion.
- C. a higher labor force growth rate and higher unemployment.
- D. a working population that must support a larger number of dependents.

ANSWER: A

Which one of the following is correct about Rostow's economic stages?

- A. the preconditions for takeoff, the takeoff, the drive to maturity, and the age of creative destruction.
- B. the traditional society, the preconditions for takeoff, the takeoff, the drive to maturity, and the age of high mass consumption.
- C. the preconditions for consumption, the replication, the drive to maturity, and the age of high mass consumption.
- D. the learning curve, the age of high mass consumption, post-takeoff, and the drive to maturity.

ANSWER: B

Suppose you want to predict a person's income based on their level of education. What would be the dependent variable in this scenario?

- A. Income
- B. Education
- C. Both income and education
- D. Neither income nor education

ANSWER: A

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In multiple regression analysis, what is the dependent variable?

- A. The variable that is being predicted.
- B. The variable that is being manipulated.
- C. The variable that is being held constant.
- D. The variable that is not relevant to the analysis.

ANSWER: A

Which of the following is not a requirement for using multiple regression analysis?

- A. The dependent variable must be continuous.
- B. The independent variables must be continuous or categorical.
- C. There must be a linear relationship between the dependent variable and each independent variable.
- D. The sample size must be at least 30.

ANSWER: D

Which of the following is a correct statement about multicollinearity in multiple regression analysis?

- A. It occurs when there is a perfect linear relationship between two or more independent variables.
- B. It does not affect the estimates of the coefficients.
- C. It increases the standard errors of the coefficients.
- D. It decreases the R-squared value.

ANSWER: C

Which of the following is a symptom of heteroscedasticity?

- A. Residuals are normally distributed
- B. Residuals have a constant variance
- C. Residuals have a non-constant variance
- D. Residuals are perfectly correlated with the dependent variable

ANSWER: C

Which of the following is a common method for detecting multicollinearity in regression analysis?

- A. T-test
- B. F-test
- C. VIF (Variance Inflation Factor)
- D. ANOVA

ANSWER: C

What is the difference between logistic regression and linear regression?

- A. Logistic regression is used for limited dependent variables while linear regression is used for continuous dependent variables.
- B. Logistic regression assumes a linear relationship between the independent and dependent variables while linear regression does not.
- C. Logistic regression estimates probabilities while linear regression estimates means.
- D. Logistic regression requires the use of dummy variables while linear regression does not.

ANSWER: A

Suppose you have a system of two equations with two endogenous variables and one exogenous variable. Which method would you use to estimate this model?

- A. Two-stage least squares
- B. Ordinary least squares
- C. Three-stage least squares
- D. Maximum likelihood estimation

ANSWER: A

What is autocorrelation in time series analysis?

- A. The correlation between two different time series variables
- B. The correlation between an observation and its lagged values
- C. The correlation between an observation and its forecasted values

D. The correlation between two different cross-sectional units

ANSWER: B.

Which of the following statements is true about the Hausman test for choosing between fixed and random effects?

A. It tests whether the individual-specific effects are correlated with the regressors.

B. It tests whether the individual-specific effects are uncorrelated with the regressors.

C. It tests whether the individual-specific effects are constant over time.

D. It tests whether the individual-specific effects are randomly distributed.

ANSWER: A

Suppose you have panel data on the wages of workers in different industries over several years, and you want to estimate the effect of education on wages while controlling for industry-specific effects. Which type of model would be more appropriate?

A. Fixed effect

B. Random effect

C. Both would be equally appropriate

D. Neither would be appropriate

ANSWER: A

Which of the following is a disadvantage of international trade?

A) Increased competition

B) Reduced economic growth

C) Increased specialization

D) Increased unemployment

ANSWER: D

Which of the following is an example of a tariff?

A) A tax on imported goods

B) A tax on exported goods

C) A tax on all goods

D) A tax on luxury goods

ANSWER: A

Which international trade theory emphasizes the role of factor endowments, such as labor and natural resources, in determining a country's comparative advantage?

A. Absolute advantage theory

B. Comparative advantage theory

C. Factor endowment theory

D. Product life cycle theory

ANSWER: C

According to the product life cycle theory, which stage of the product life cycle is characterized by high demand in the domestic market and low demand in foreign markets?

A. Introduction stage

B. Growth stage

- C. Maturity stage
- D. Decline stage

ANSWER: A

Which of the following best describes the gold standard?

- A. An international agreement to fix exchange rates between countries
- B. The use of gold as a universal medium of exchange
- C. A monetary system in which a country's currency is pegged to a specific amount of gold
- D. An international organization that oversees monetary policy

ANSWER: C

What is the difference between a fixed exchange rate and a floating exchange rate?

- A. A fixed exchange rate is set by the market, while a floating exchange rate is set by governments.
- B. A fixed exchange rate is determined by supply and demand, while a floating exchange rate is set by central banks.
- C. A fixed exchange rate is set by international agreement, while a floating exchange rate is determined by market forces.
- D. A fixed exchange rate is determined by the value of a country's gold reserves, while a floating **exchange rate is determined by the value of its currency on the open market.**

ANSWER: C

What is the purpose of Special Drawing Rights (SDRs) in the international monetary system?

- A. To provide a reserve currency for member countries
- B. To promote free trade among member countries
- C. To regulate international capital flows
- D. To provide short-term loans to developing countries

ANSWER: A

Which of the following organizations is responsible for the International Monetary System?

- A. The World Trade Organization (WTO)
- B. The International Monetary Fund (IMF)
- C. The International Bank for Reconstruction and Development (IBRD)
- D. The United Nations (UN)

ANSWER: B

Which one of the following best define balance of payments?

- A. A record of all the financial transactions that take place between a country and the rest of the world
- B. A record of all the imports and exports of a country
- C. A record of all the loans that a country has received from other countries
- D. None of the above

ANSWER: A

Which one of the following is given less emphasis on the economic analysis of a project?

- A. Maximizing national income regardless of the receiver

- B. Contribution of the project to social welfare
- C. The project should be profitable enough and able to contribute to the growth of national income
- D. None of the Above

ANSWER: D

Which one of the following is not an instrument to carry out monetary policy?

- A. Open market operations
- B. Changes in the discount rate
- C. Change in reserve requirements
- D. Government expenditure

ANSWER: D

The type of unemployment which occurs when there is a mismatch between jobs available and skill of job seekers is:

- A. Structural unemployment
- B. Frictional unemployment
- C. Seasonal unemployment
- D. Cyclical unemployment

ANSWER: A

Effective monitoring of a project helps to all of the following **except**_____.

- A. Anticipating deviations from implementing the plan
- B. Analyzing the emerging problems and mitigating them
- C. Taking corrective actions to problems faced by the ongoing project
- D. Diverting the objective of the project from being machined

ANSWER: D

Which one of the following is used to measure whether activities need adjustment in the course of intervention to improve the use of resources and the achievement of the desired outcomes?

- A. Performance monitoring
- B. impact monitoring
- C. Change evaluation
- D. Outcome evaluation

ANSWER: A

In macroeconomic policy, the time it takes for policy makers to check whether problem occurs in the economy is;

- A. Impact lag
- B. Recognition lag
- C. Political lag
- D. Implementation lag

ANSWER: B

Which of the following NOT true regarding the **Harrod - Domar** model of economic growth?

- A. To grow fast, economies should save and invest certain proportion of their national income
- B. Countries with higher rate of saving will grow faster than otherwise

- C. The lower the capital output ratio, the lower the rate of economic growth will be
- D. The lower the capital-output ratio, the higher will be the growth of the economy

ANSWER: C

Suppose that a hypothetical developing economy has capital output ratio ($k = 5\%$) and its yearly savings rate is 15 % of GDP, then the growth rate of this economy will be;

- A. 0.33 % per year
- B. 3 % per year
- C. 5 % per year
- D. 15 % per year

ANSWER: B

Which one of the following is an example of impact lag of macroeconomic policy?

- A. The government decides to increase spending to stimulate the economy
- B. The government announces a tax cut to boost consumer spending
- C. The government realizes that the economy is in recession
- D. The government decides to raise interest rate to combat inflation

ANSWER: D

Which one of the following is the main purpose of project monitoring and control?

- A. To identify project risks and constraints
- B. to allocate project resources and budget
- C. To track project progress and performance
- D. To define the project scope and objectives

ANSWER: C

In the case of inferior goods, the substitution and income effects of a price increase will

- A. Both decrease the quantity of the good demanded
- B. Both increase the quantity of the good demanded
- C. The substitution effect will increase the quantity of the good demanded while the income effect will decrease the quantity of the good demanded
- D. The substitution effect will decrease the quantity of the good consumed while the income effect will increase the quantity of the good consumed

ANSWER: D

What is the difference between risk and uncertainty?

- A. Risk involves known probabilities, while uncertainty involves unknown probabilities
- B. Risk involves unknown probabilities, while uncertainty involves known probabilities
- C. Risk and uncertainty are the same thing
- D. None of the above

ANSWER: A

Which of the following factors can cause a shift in the production function?

- A. Changes in technology
- B. Changes in output prices
- C. Changes in government regulations

D. Changes in consumer preferences

ANSWER: A

Which of the following is an example of minimizing costs through economies of scale?

A. A company purchases raw materials in bulk to receive a discount.

B. A company invests in new technology to increase efficiency.

C. A company outsources production to a cheaper labor market.

D. A company reduces employee benefits to cut expenses.

ANSWER: A

Which of the following is true for a perfectly competitive firm in the short run?

A. It earns zero economic profit

B. It earns positive economic profit

C. It incurs losses

D. It maximizes revenue

ANSWER: A

The sufficient conditions for profit maximization by a firm is that:

A. $MC = AR$ and MC rising

B. $MC = MR$ and MC declining

C. $MC = MR$ and MC rising

D. $MC = AC$ and AR cuts MC from below

ANSWER: C

When the monopolist equates MC to MR then, the firm would be:

A. Maximizing output

B. Minimizing costs

C. Maximizing profit

D. Maximizing sales

ANSWER: C

The demand curve faced by a monopolistically competitive firm is

A. perfectly elastic.

B. Elastic.

C. Unit elastic.

D. Inelastic.

ANSWER: B

If an imperfectly competitive firm is producing a level of output where marginal cost is equal to marginal revenue, marginal revenue is below average variable cost, and price is equal to average total cost, then the firm

A. should shut down.

B. should decrease output, but should not shut down.

C. should increase output.

D. None of the above is correct.

ANSWER: D

Which model of oligopoly assumes that one firm acts as a leader and sets its output level first, followed by the other firms in the market?

- A. Cournot model
- B. Bertrand model
- C. Stackelberg model
- D. Cartel model

ANSWER: C

Which model of oligopoly assumes that firms will collude to maximize joint profits?

- A. Cournot model
- B. Bertrand model
- C. Stackelberg model
- D. Cartel model

ANSWER: D

Which of the following is an example of a game theory application in firm decision making?

- A. Deciding on the price of a product based on production costs
- B. Deciding on the location of a new store based on customer demographics
- C. Deciding on the advertising strategy based on market trends
- D. Deciding on the pricing strategy based on competitor behavior

ANSWER: D

Every factor of production gets reward equal to its:

- A. Cost
- B. Marginal product
- C. Price
- D. Increasing return

ANSWER: B

In general equilibrium theory, the economy has reached Pareto Optimality when:

- A. society's initial endowment is distributed equally among all individuals
- B. no one can be made better off without making someone else worse off
- C. society's initial endowment is distributed fairly among all individuals
- D. every firm is enjoying a profit

ANSWER: B

An individual is willing to pay something for information because

- A. Information is costly.
- B. It is always better to know than not to know.
- C. This allows him or her to increase utility.
- D. Information is a public good

ANSWER: C

Asymmetric information means that:

- A. providers and clients have no information.

- B. providers and clients have the same information.
- C. providers and clients have different information.
- D. clients have no information.

ANSWER: C

Which one of the following is not true?

- A. According to the Classical school of thought, prices are unnecessarily flexible and possibly harm certain segments of the society
- B. Keynesians argue that markets are not always self-regulating, output fluctuations are partly caused by private sector behaviour (animal spirit).
- C. Classical School argues that disequilibrium in the various markets that are likely to cause unemployment is a short run phenomenon that can be addressed through the interaction of market forces.
- D. In a Classical school of thought, the economy is operating at full employment; any change in fiscal or monetary policy instruments will have nominal value changes only.

ANSWER: A

Which of the following statements is true regarding the long-run aggregate supply curve?

- A. It is vertical because an equal change in all prices and wages leaves output unaffected
- B. It is positively sloped because price expectations and wages tend to be fixed in the long run
- C. It is horizontal because price expectations and wages tend to be fixed in the long run.
- D. It shifts left when the natural rate of unemployment falls.

ANSWER: A

In neoclassical investment model, which one is **not correct**?

- A. An increase in MPK increases investment
- B. A decrease in MPK shifts the investment curve to the left
- C. An increase in real interest rate decreases investment
- D. An increase in depreciation increases investment

ANSWER: D

Which one of the following is correct about In Tobin q Theory?

- A. If $q > 1$, replacement cost of capital is greater than market value
- B. If $q > 1$, firms invest more on new capital
- C. If $q < 1$, firms replace capital as it wears out
- D. If $q < 1$, the value of the firm in the stock market is greater than its replacement capital

ANSWER: B

When does we say "Full employment" occurs?

- A. the unemployment rate is zero percent
- B. the structural unemployment rate is zero percent
- C. the frictional unemployment rate is zero percent
- D. the cyclical unemployment rate is zero percent

ANSWER: D

In the Solow growth model, if investment exceeds depreciation, the capital stock will _____ and output will _____ until the steady state is attained.

- A. increase; increase
- B. increase; decrease
- C. decrease; decrease
- D. decrease; increase

ANSWER: A

Which one of the following best describes the relationship between supply of educational quality, educational quantity, and employment in developing countries?

- A. Demand for education and employment is economically motivated while supplies of education is politically responsive
- B. Market supply of education is led by market demand for education
- C. economically motivated supply of education faces politically responsive demand for education
- D. Market demand for education is led by market supply of education

ANSWER: A

The Harris-Todaro model explains migration with _____

- A. unemployment equilibrium between urban expected wages and average rural income
- B. full employment equilibrium between equalized rural urban wages in free market situation
- C. full employment equilibrium between urban expected wages and average rural income
- D. Unemployment disequilibrium between urban rural wages reversing the direction of migration

ANSWER: A

As compared to that of developed nations (typically western Europe), the demographic transition of developing countries is characterized by:

- A. faster decline in mortality rates in stage II
- B. relatively lower magnitude of birth rates and death rates in stage I
- C. lower replacement level of fertility
- D. identical demographic characteristics across all developing countries in stage III

ANSWER: A

Which one of the following signifies a common feature of less developed countries?

- A. Population Size
- B. Low level of living
- C. Natural resource endowment
- D. Structure of the economy

ANSWER: B

Which one of the following is a dual economy model?

- A. The Solow growth model
- B. The Lewis model

- C. The Rostow model
- D. The New Growth Theory

ANSWER: B

Which of the following names are associated with the so called endogenous growth theory?

- A. K. Arrow and R. Solow
- B. North and E. Ostrom
- C. R. Lucas and P. Romer
- D. M. Todaro and J. Harris

ANSWER: C

No country is said to be developed if it is used as a tool by others for their own needs. This is the notion of:

- A. Self-sustenance
- B. Freedom from ignorance
- C. Self-esteem
- D. Capability to function

ANSWER: C

The importance of international economics in the world economy can be demonstrated in several ways. Which one is not true about this?

- A. International trade enables all of us to consume goods and services from a variety of countries
- B. Trade enables resource-poor countries to access raw materials that are necessary for the development of their industries.
- C. Trading nations always share world trade gain equally
- D. Total global output of the goods and services can increase, and leading to increased welfare, and employment opportunities

ANSWER: C

One among the following statement is wrong about the law of comparative advantage and gain from trade

- A. According to the law of comparative advantage, even if one nation is less efficient than the other nation in the production of both commodities, there is still a basis for mutually beneficial trade.
- B. The first nation should specialize in the production and export of the commodity in which its absolute advantage is greater, and the other nation should import the commodity in which its absolute advantage is smaller.
- C. Consumption gains to the two trading countries depend upon the terms of trade (TOT)
- D. If terms of trade (TOT) of country A is equal to internal opportunity cost ratio of country A, all the gains in consumption can be taken by country B.

ANSWER: B

Which one of the following statements is **TRUE** about a foreign exchange market?

- A. A foreign exchange market is a part of the financial market for the buying and selling of long – term debt

- B. A foreign exchange market is a part of the financial market for the buying and selling of short – term debt
- C. A foreign exchange market is the market for the buying and selling of foreign currencies
- D. A foreign exchange market is the market for the buying and selling of foreign goods and services

ANSWER: C

Which one of the following is correct, other things being constant, **real effective exchange rate**?

- A. The real effective exchange rate measures the weighted average of a country's currency in relation to a basket of other major currencies
- B. The real effective exchange rate measures the weighted average of a country's export and import prices in relation to a basket of other countries' export and import prices
- C. The real effective exchange rate measures the responsiveness of export prices to changes in exchange rates
- D. The real effective exchange rate measures the responsiveness of import prices to changes in exchange rates

ANSWER: A

Assume that the United States of America (USA) and the United Kingdom (UK) are trading partners. Let the USA be the domestic partner, while the UK is the foreign partner. Other things being equal, what does an increase in the real exchange rate imply?

- A. The USA has become more competitive than the UK
- B. The USA has become less competitive than the UK
- C. USA goods and services have become more attractive to UK consumers and businesses
- D. UK goods and services have become less attractive to USA consumers and businesses

ANSWER: B

Which one of the following is correct about financial institutions?

- A. dealers in securities, they buy secondary securities and sell primary securities
- B. dealers in securities, they buy primary securities and sell secondary securities
- C. dealers in financial assets, they buy financial assets and sell physical assets
- D. dealers in physical assets, they buy financial assets and sell physical assets

ANSWER: B

Liquidity trap along the liquidity preference curve refers to the region where

- A. monetary policy becomes effective
- B. monetary policy fails
- C. money demand becomes interest sensitive
- D. money demand becomes price sensitive

ANSWER: B

Speculative demand for money arises due to which one of the following?

- A. uncertainties about the future rate of interest
- B. opinion similarities between individuals about the future rate of interest

C. opinion differences between individuals about the future rate of interest the existence of bond market

D. A and D

ANSWER: C

Which of the following is TRUE about the relationship between currency ration, reserve ratio and money supply?

A. Higher currency ratio, c , and reserve ratio, r , lead to higher money supply for a given level of monetary base.

B. Lower currency ratio, c , and reserve ratio, r , lead to lower money supply for a given level of monetary base

C. higher currency ratio, c , and reserve ratio, r , lead to lower money supply for a given level of monetary base

D. higher currency ratio, c , and reserve ratio, r , does not lead to change in supply for a given level of monetary base

ANSWER: C

Which of the following the principal objective of the monetary policy of the National Bank of Ethiopia?

A. Maintain price & exchange rate stability and support sustainable economic growth of Ethiopia.

B. Expand education in Ethiopia

C. Improve productivity of firms

D. Expand supply of electricity in Ethiopia

ANSWER: A

We need normality of disturbances in linear regression model for

A. Estimating the parameters of the model

B. Checking the unbiasedness property

C. Conducting hypothesis testing and making inferences

D. Calculating coefficient of determination

ANSWER: C

Linearity in classical linear regression model requires all but

A. Linearity in variables.

B. Linearity in parameters.

C. Linearity in parameter and non-linearity in variables.

D. Non-linearity in parameters.

ANSWER: D

Variance inflation factor is the most commonly used test for testing the problem of

A. Autocorrelation

B. Heteroscedasticity

C. Multicollinearity

D. Endogeneity

ANSWER: C

The following is potential remedial measure of heteroscedasticity in classical linear regression models **except**

- A. Transformation of variables into natural logarithm
- B. Running Cochrane-Orcutt regression
- C. Transforming the Ordinary Least Square into Generalized Least Square model
- D. Running robust regression

ANSWER: B

Dummy variables are used to include _____ into a regression model.

- A. Count Data variables
- B. Categorical variables
- C. Continuous variables
- D. Time series variables

ANSWER: B

One of the following statements is NOT true about the Probit model?

- A. Significance of single coefficient can be tested using *t*-test
- B. It is possible to estimate the Probit model using maximum likelihood technique
- C. It is possible to estimate the Probit model using OLS
- D. Coefficient of determination has no usual interpretation

ANSWER: C

In a system of simultaneous equations model if OLS is applied to a particular equation in the system, the resulting estimators will be:

- A. Unbiased but inefficient
- B. Biased and inconsistent
- C. Biased but consistent
- D. Unbiased and consistent

ANSWER: B

The costs incurred in covering expenditures before it gets its first revenue is called _____

- A. Working capital costs
- B. Operating costs
- C. Fixed capital costs
- D. All except A

ANSWER: A

The phase of the project life cycle in which brief market survey and some rough projections and forecasting are called _____

- A. Feasibility
- B. Ex-post evaluation
- C. Pre-investment
- D. Pre-feasibility

ANSWER: D

All of the following are limitations of NPV appraisal criteria of a project except,
A. For some projects the required data for computing NPV may not be available
B. A project must have at least one negative cash flow period to use NPV criteria
C. It does not show the exact profitability of the project
D. It is not suitable method for a large and complex investment budget

ANSWER: B

Financial analysis is different from economic analysis in that
A. Economic analysis considers intangible benefits and costs explicitly
B. Economic analysis focuses on financial profitability of the project
C. Financial analysis measures a project's contribution to the community's welfare.
D. Economic analysis uses market prices to value cost and benefit of the project

ANSWER: A

Suppose the equation of an isoquant is $(K, L) = K^{0.5}L^{0.5} = C$. The marginal rate of technical substitution of labour for capital () when $L = 3$ and $K = 4$ is
A. 0.75
B. 1.3
C. 12
D. 1

ANSWER: B

Suppose a consumer who consumes two goods x and y has the utility function $(x, y) = xy$. The consumer has a budget of \$400. The price of good x is $P_x = \$10$ and the price of good y is $P_y = \$20$. His optimal consumption bundle when the price of x falls to \$5, other factors remaining constant is:

- A. (40, 10)
- B. (400, 10)
- C. (20, 10)
- D. (10, 20)

ANSWER: A

Suppose that a firm's production function $Q = (K, L) = 50K^{0.5}L^{0.5}$. Suppose, also that the price of labour $w = 5$ and the price of capital $r = 20$. The cost minimizing input bundle if the firm wants to produce 1000 units per year is:

- A. (10, 40)
- B. (20, 40)
- C. (40, 10)
- D. (5, 4)

ANSWER: C

Given the following national income model, $Y = C + I_0 + G_0$ where $C = 100 + 0.75(Y - T)$; $T = 240 + 0.2Y$; $I_0 = 90$; $G_0 = 330$. What happens to equilibrium national income when government expenditure increases by 50 units?

- A. it increases by 2.5
- B. It increases by 125

- C. It decreases by 125
- D. It does not change

ANSWER: B

Abebe spends all his income on goods x and y . His preferences can be represented by the utility function, $u(x, y) = x^{0.3} y^{0.6}$. Suppose a unit of x costs 40 while a unit of y costs 50. If Abebe's monthly income is 3000, what is his optimal monthly bundle (x, y) ?

- A. (25,40)
- B. (50,20)
- C. (75,60)
- D. (60, 755)

ANSWER: A

Consider an open economy given by the following expressions: $C = 10 + 0.8(Y - T)$, $I = 10$, $G = 10$, $T = 10$, $IM = 0.3Y$ and $X = 0.3Y$. Assume the real exchange rate is fixed and equal to 1.

What is the government purchase multiplier in this economy, given Y

- A. 1
- B. 2
- C. 3
- D. 4

ANSWER: B